

for those people who don't have credit or debit cards, is being used by 8.5 million local stores and small businesses, while Amazon Pay UPI is being used by more than 80 million customers.

Whether it was on the customer front, the seller front, or the logistics front, we had to innovate for India. And that goes to show that you have to think differently about India.

Q: Will emerging competition from major conglomerates disrupt the existing e-commerce duopoly (of Amazon and Walmart-backed Flipkart) in India?

A: I wouldn't call it a duopoly. When you start something new, there will always be one or two players initially, others will observe for some time and then step in. There are so many players in India that are large, very effective, which innovate really well. The biggest industrial houses are in there—Tata, Reliance—and then there are the others like Flipkart, Nykaa. They are such impressive players. Monopoly or duopoly emerges when you hit a certain penetration, when there are one or two players controlling it. For e-commerce, it's just the start. This is the stage where you will see innovation, you will see new entrants. It's not capital. Capital is the easiest thing available in the market. It's the strength of the idea and how you can innovate that would define the longevity of the company.

Q: With ONDC emerging as a disruptive force, what is Amazon's perspective on the initiative?

A: ONDC is a neutral network; it can't be competition to anyone. Right now it is doing a lot around restaurants where we are not active. If the ONDC piece works, it will help create better pipelines on all sides. But it is early days, I don't see anything as competition right now. We have started working with them. There is a road map, and we are already doing some work on logistics and payments.

Q: Why did Amazon shut down its food delivery business in India? What is your interest in

ON INDIA'S POTENTIAL

E-commerce is still a very small part of retail in India. India has one of the youngest populations and they are early adopters of digital tech. We are at a per capita of around \$2,200. At a certain point, when the per capita income hits a [threshold], the consumption pattern starts skyrocketing... In the next few years, we will start hitting that level. Multiply it with the population and the age profile, [and] India would be one of the high-potential countries

ON COMPETITION

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ON ONDC

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the online pharmacy vertical?

A: As a business, we believe that we need to look at new ways to fulfil customer needs in a sustainable manner. Amazon is a company of builders. Sometimes you say, 'These things are working, let's scale them' or 'These things are not working, let's change or close [them]' and then you start other experiments. Food delivery was an experiment; we stopped it last year. E-pharmacy is something we are interested in. We work closely with Apollo [Pharmacy]. The business is scaling up now.

Q: What has been Amazon's progress in fulfilling its pledges in India?

A: In 2020, when Jeff [Bezos, Amazon Founder] visited [India], we made three pledges. One was digitisation; we said we would digitise 10 million small businesses by 2025. The second was employment; we said we would create 2 million incremental jobs directly or indirectly by 2025. And the third was to do \$10 billion of exports. On digitisation, we are close to 4.1 million; on employment, we have reached 1.1 million. Even if you look at Amazon's own employees, we are one of the largest private sector employers in this country with close to 110,000-115,000 people. The progress in exports initially was so good that we doubled the plans to \$20 billion. We've hit \$5 billion.

Q: What is Amazon's view on India's market potential?

A: The fact is, despite all that we've done, e-commerce is still a very small part of retail. The penetration would be 2-3 per cent. In bigger categories, like fashion and grocery, it's even smaller. If you look at the macro factors, India has one of the youngest populations [in the world, and] they are early adopters of digital technology. We are at a per capita of around \$2,200. At a certain point, when the per capita income hits a [threshold], the consumption pattern starts skyrocketing... In the next two to three years, we will start hitting that level. Multiply it with the population and the age profile, [and] India would definitely be one of the most interesting and high-potential countries for Amazon.